

SL Green Sheds 10 East 53rd Street at \$312M as Office REIT Executes \$2.5B Disposition Plan

\$312.2 million

Key figure

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What \$312.2 million reveals

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SL Green, New York City's largest office landlord, acquired the 390,000-square-foot Midtown East tower in 2012 for \$252.5 million. It bought out partner Canada Pension Plan Investment Board's stake two years later at a \$236 million valuation. The REIT then poured \$170 million into redeveloping the property into a Class A asset.

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The building is now 92 percent leased. Tenants include brokerage Compass, Swarovski North America, Equinox Fitness, and Metropolitan Bank. SL Green will continue to manage the property post-sale.

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SL Green's net cash proceeds from the sale are approximately \$100 million. The company will use those funds for corporate debt repayment, per the announcement. Harrison Sitomer, SL Green's president and chief investment officer, called the deal a "meaningful step forward" in executing the REIT's \$2.5 billion 2026 strategic disposition plan.

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Newmark's Jordan Roeschlaub and Nick Scribani are handling the debt assignment for Meadow Partners' acquisition financing. They are seeking a 50 percent loan-to-value ratio, Commercial Observer reported. That implies roughly \$156 million in first-mortgage debt on a property that last traded at a significantly higher basis.

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Meadow Partners raised a \$530 million flagship fund in 2024 targeting New York and London real estate. The firm has been active: in September 2025, it made a \$36 million preferred equity investment in Edward J. Minskoff Equities' 1166 Avenue of the Americas. Earlier this year, it invested \$62 million in Minskoff and LaSalle Investment Management's 51 Astor Place.

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SL Green has also been busy on the disposition front. Last week, it announced the sale of a 49 percent stake in 346 Madison Avenue to Japanese developer Mori Building Company. The two plan to jointly build a new office tower on that Midtown site.

The 10 East 53rd Street sale price of \$312.2 million equates to roughly \$800

The 10 East 53rd Street sale price of \$312.2 million equates to roughly \$800 per square foot. That is a premium to many recent Midtown office trades, but below the peak pricing SL Green achieved on similar assets in prior cycles. The \$100 million net proceeds represent a roughly 40 percent return on SL Green's total invested capital, including the redevelopment spend.

Well-located, well-leased, recently renovated assets in prime Midtown corridors

The transaction underscores a bifurcated office market. Well-located, well-leased, recently renovated assets in prime Midtown corridors still command institutional capital. Meadow Partners is betting that the 92 percent occupancy and strong tenant roster will support the debt service on a 50 percent LTV loan.

For SL Green, the sale is part of a broader deleveraging strategy

For SL Green, the sale is part of a broader deleveraging strategy. The REIT has been selling assets and using proceeds to pay down debt as it navigates a higher-for-longer rate environment. The \$2.5 billion disposition plan for 2026 is the largest such program among publicly traded office REITs.

Why it matters

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